

EXPAND ENERGY CORPORATION

(NASDAQ: EXE)

The Low-Cost Anchor of US Natural Gas, Priced for Bear-Case Gas Forever

BUY — \$112.00 Target

Equity Research Note · Energy — Natural Gas E&P · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Upside	Risk Rating
BUY	\$112.00	\$85.52	+31.0%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$19.8 bn (231.5 mn sh × \$85.52)	Proved reserves	25.9 Tcfe
Enterprise value	~\$24.1 bn	Basins	Haynesville; NE Appalachia; SW Appalachia
Net debt (pro forma)	~\$4.3 bn	Dividend	\$2.30/yr (~2.7% yield)
52-week range	\$83.25 – \$126.62	Q2'26 adj. EBITDAX	\$1,183 mn (flat y/y despite lower gas)
Production	~7.5 Bcfe/d (92% natural gas)	Implied upside	+31% to \$112.00 fair value

1 Investment Thesis

Expand Energy, formed from the merger of Chesapeake and Southwestern, is now the largest natural gas producer in the United States, with premier acreage in the Marcellus, Haynesville, and other basins. The investment case is straightforward: scale lowers per-unit costs, a low-decline inventory supports decades of drilling, and the company's capital discipline (maintenance-mode production, free cash flow returned to shareholders) converts a commodity business into a cash machine across the cycle.

Our judgment is that the market still prices Expand like the old Chesapeake — a leveraged gas-price lottery ticket — when the merged company is a different animal: lower leverage, lower breakevens, and a management team whose stated strategy is returns over growth. The structural demand story for US natural gas — LNG exports, power-generation demand including data centers, and industrial reshoring — provides a durable bid under volumes that the spot price does not fully reflect.

At \$85.52, the stock is priced for bear-case gas, forever. The reverse DCF is blunt: at this price, enterprise value of ~\$24.1 billion capitalized at the 10% base discount with 1.0% terminal growth implies roughly \$2.1 billion of perpetual free cash flow — equivalent to a sustained ~\$3.00 Henry Hub with zero terminal growth and no LNG or data-center uplift. Our probability-weighted fair value is \$112.00, a 31% expected return, driven by free cash flow generation and the dividend-plus-buyback framework rather than a bet on a gas-price spike.

The cost position is the core of the call. Expand's Marcellus and Haynesville acreage sits at the low end of the North American cost curve, which means the company generates free cash flow at gas prices where higher-cost producers merely survive. In a commodity business, being the low-cost producer is the entire strategy; everything else — hedging, marketing, capital returns — is execution against that advantage.

Why the market will care (eventually)

- **LNG is the structural demand story the spot market underappreciates.** US LNG export capacity is growing substantially through the end of the decade, and each new train is a durable source of demand for Gulf Coast and Appalachian gas. Expand's Haynesville position is advantaged for Gulf Coast LNG, and its scale gives it marketing optionality — including exposure to international price linkages — that smaller producers cannot access.
- **The bear case is already in the price.** Our bear DCF (\$31.53) is 63% below the price — a genuinely adverse decade of \$2.90 gas — and the market price embeds roughly that outcome as the expectation. Any move toward the futures strip re-rates the equity; the asymmetry favors holders.
- **An underappreciated second product: gas marketing.** The \$1.25 billion Twin Eagle acquisition added ~1,000 commercial customers and 44 Bcf of storage; management raised its marketing free-cash-flow target to \$750 million per year. The strategy is evolving from pure producer to integrated gas marketer — capturing volatility and basis spreads that pure producers leave on the table.

2 Business Overview — What Expand Energy Corporation Is Doing

(Oklahoma City, Oklahoma)

Expand Energy was created in October 2024 when Chesapeake Energy acquired Southwestern Energy for ~\$7.4 billion, then rebranded — making it the largest independent US natural gas producer at roughly 7.5 Bcfe/d, 92% natural gas. The footprint spans three basins (proved reserves 25.88 Tcfe): Haynesville (23% of reserves — the LNG-adjacent growth engine, with 75,000+ net Western Haynesville acres and 200+ potential locations); NE Appalachia (42% of reserves — the low-cost, basis-constrained base); SW Appalachia (35% of reserves, with an oil and NGL liquids kicker that lifts blended realizations).

The strategy is maintenance production with capital discipline: drill enough to hold volumes roughly flat, keep costs among the lowest in the industry, and return the resulting free cash flow to shareholders through a base dividend plus variable buybacks. Hedging smooths near-term price exposure while deliberately leaving upside exposure — the correct posture for a low-cost producer. The merger synergies — operational (drilling and completion efficiencies, overhead reduction) and commercial (marketing scale, LNG optionality) — are the near-term earnings driver.

The commercial structure includes a base dividend designed to be sustainable at low gas prices (\$2.30/year), supplemented by buybacks that flex with free cash flow. We expect the share count to shrink meaningfully over the forecast, so per-share free cash flow grows faster than the commodity.

What the company is doing now

- **Decades of low-decline inventory.** The Marcellus offers enormous, low-decline inventory near premium Northeast demand; the Haynesville offers high-rate wells with direct access to Gulf Coast LNG and industrial demand. Together they remove the treadmill dynamic that plagues shorter-lived shale plays.
- **Marketing and logistics as a growth vector.** Twin Eagle plus a 20-year, 1.15 Mtpa Delfin LNG supply agreement (targeted 2031): the company is building an integrated marketer, not just a producer.
- **Management credibility on discipline — recently earned.** The combined company has held the line on maintenance production rather than chasing growth, even when prices spiked. We treat past discipline as evidence, not promise; any deviation would be visible quickly in capex and production data.

3 Financial Analysis

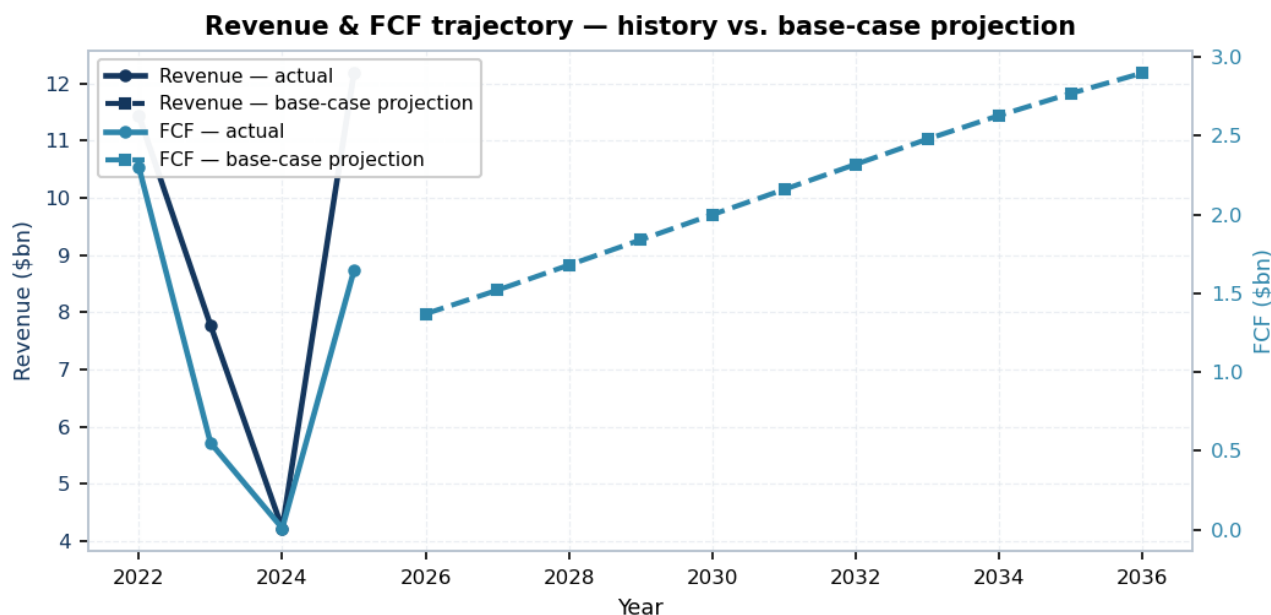
\$ bn	2022*	2023*	2024*	2025
Revenue	11.44	7.78	4.22	12.19
Free cash flow	2.30	0.55	0.01	1.64
Q2'26 annualized FCF	—	—	—	1.37

**Pre-merger (Chesapeake standalone); merger with Southwestern closed Oct 2024. Sources: company filings via Yahoo Finance; Q2'26 company release.*

Q2 2026 (reported July 28, 2026): revenue \$2.96 billion (–19.8% year over year on lower gas), adjusted EBITDAX \$1.18 billion — flat year over year despite the price drop, which is the synergy story working — adjusted EPS \$1.33 versus ~\$1.35–1.41 consensus, operating cash flow \$1.10 billion, capex ~\$753 million, free cash flow ~\$343 million. Production hit 7.48 Bcfe/d; realized gas was \$2.42/Mcf. Q2 annualized FCF of ~\$1.37 billion at ~\$2.90 realized gas anchors the DCF's FCF path.

The historical revenue series is merger-distorted (2024 reflects only the post-October combined company), so the trajectory chart below is best read from 2025 onward. Net debt of ~\$4.3 billion pro forma is modest against ~\$24 billion of enterprise value — the balance-sheet risk that defined the old Chesapeake is gone.

Revenue & cash-flow trajectory

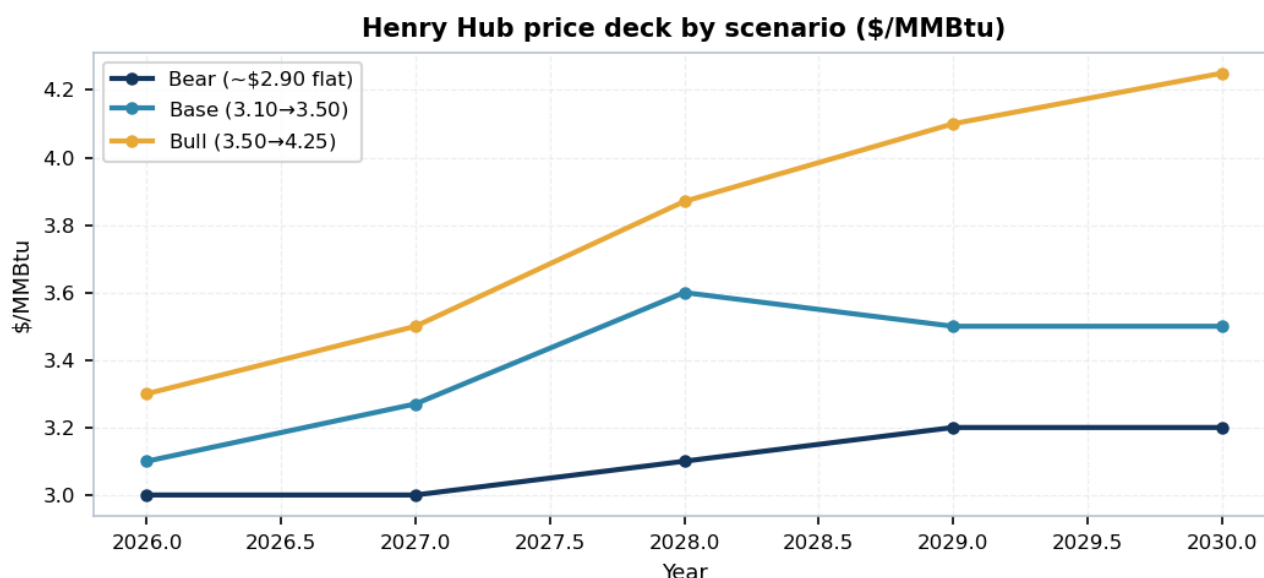


History: company filings via Yahoo Finance (pre-merger years are Chesapeake standalone; merger closed Oct 2024 — read from 2025). Projection: interpolated base-case FCF path between Q2'26 annualized FCF (\$1.37B) and the model's 2036 FCF (\$2.90B); the actual path follows the gas deck year by year.

4 Moat & Competition

- **Lowest-quartile cost position.** Marcellus and Haynesville acreage at the low end of the North American cost curve — free cash flow at gas prices where higher-cost producers merely survive.
- **Scale as the consolidator.** The largest US gas producer has the lowest per-unit overhead, the strongest marketing optionality, and the acquisition currency smaller peers lack.
- **Decades of inventory.** 25.9 Tcfe of proved reserves removes the treadmill dynamic of shorter-lived shale plays.
- **The marketer's edge.** Storage, commercial customers, and LNG linkages capture volatility and basis spreads that pure producers leave on the table.

Henry Hub price deck by scenario (\$/MMBtu)



5 Valuation — 10-year scenario FCF DCF (gas-deck driven), Fair Value \$112

We value Expand on a 10-year scenario free-cash-flow DCF — weights bear 25% / base 50% / bull 25% — with scenario-specific discounts: bear 12.5% (base + 250bp), base 10.0% (standard tier: cyclical commodity E&P with 92% gas exposure), bull 8.5% (base – 150bp). Terminal growth is 0.0% / 1.0% / 1.5% — capped well under 2.5% because shale wells decline and reserves deplete; no perpetual growth is assumed for a depleting resource.

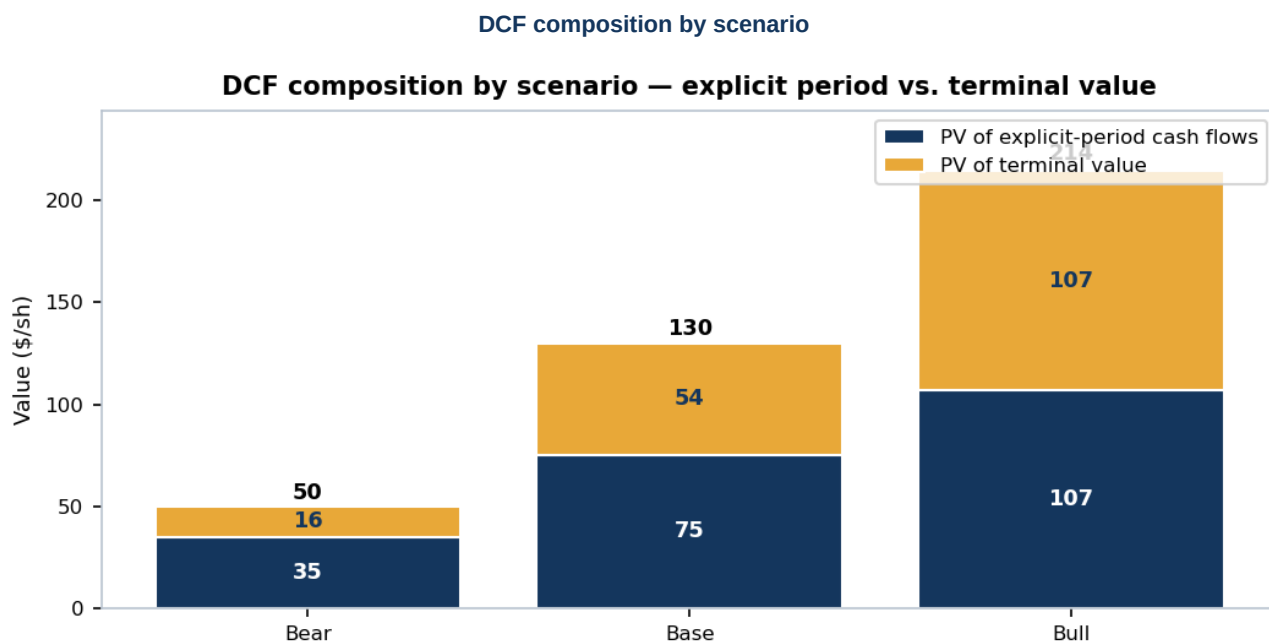
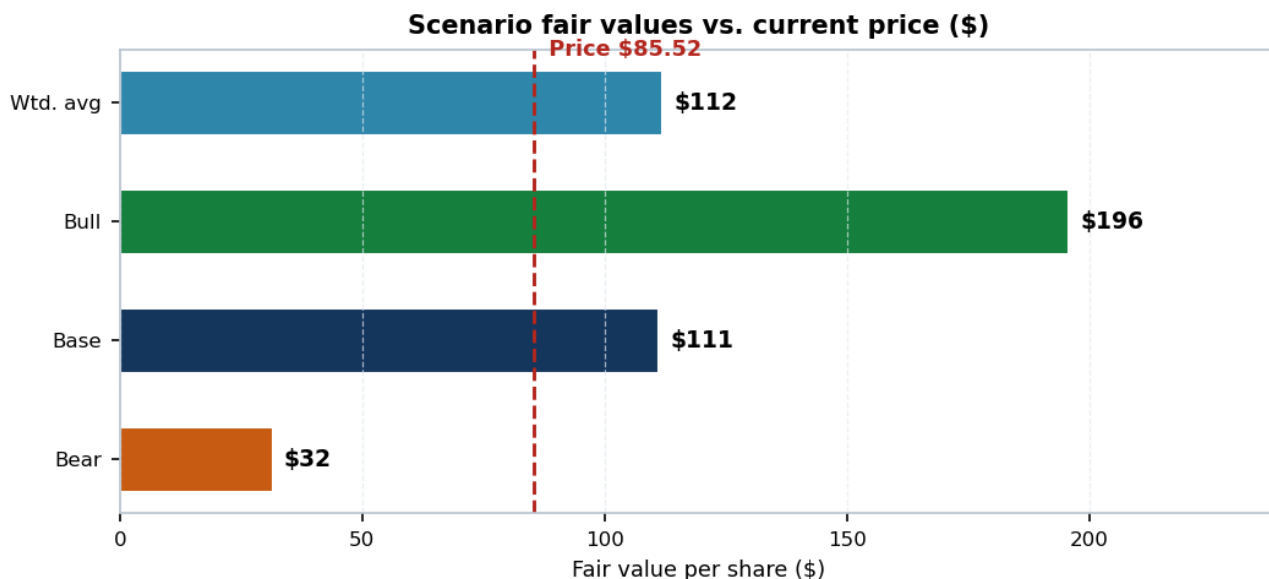
Inputs are independently justified: the FCF path is anchored to Q2'26 annualized FCF (\$1.37 billion at ~\$2.90 realized gas), the company's own \$/Mcf sensitivity (+\$0.50/Mcfe ≈ +\$1.37 billion revenue), the 2027 futures strip (~\$3.27 rising toward ~\$3.87), and mid-cycle normalization — never strip peaks. Year-10 FCF is set at mid-cycle margins, not the bull-case peak. No terminal-value haircut is needed: TV is 31–50% of EV across scenarios, well under the 70% guardrail.

Sensitivity read: at \$3.00 sustained Henry Hub the stock is roughly fairly valued-to-cheap near \$63; every sustained \$0.25 above that is worth ~\$29/share. Our \$112 target sits between the \$3.25 and \$3.50 columns — it requires gas to normalize toward mid-cycle, not to boom.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Gas stuck ~\$2.90 flat for the decade; 2036 FCF \$1.45B (flat, CAGR 0%); synergy shortfalls; dividend at risk	0%*	FCF \$1.45B	12.5% / 0.0%	31%	\$31.53
Base	Strip → mid-cycle \$3.50; full synergy realization; maintenance production; dividend + buyback framework; 2036 FCF \$2.90B	+7.8%*	FCF \$2.90B	10.0% / 1.0%	42%	\$111.16
Bull	LNG boom: \$3.50 → \$4.25; faster synergy capture; marketing upside; 2036 FCF \$3.90B	+11.0%*	FCF \$3.90B	8.5% / 1.5%	50%	\$195.75
Wtd. avg	Probability-weighted (25/50/25) → \$112.00 target					\$112.00

*For EXE the 'Rev CAGR' column shows the FCF CAGR implied by each scenario's 2036 FCF versus Q2'26 annualized FCF (\$1.37B); 'End margin' shows the scenario's 2036 FCF. The valuation is driven by the Henry Hub deck, not a revenue forecast.

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$/sh. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Commodity leverage — the big one.** 92% gas exposure means a sustained \$0.50/Mcf move swings ~\$1 billion of annual EBITDA on a ~\$20 billion market cap. Our bear DCF (\$31.53) is 63% below the price.
- **Basis differentials.** NE Appalachia realized just \$2.15/Mcf in Q2; Marcellus differentials can persist even if Henry Hub recovers.
- **Hedge drag.** Floors protect 2026, but collars cap upside if gas spikes; 2027 coverage is undisclosed.
- **Execution.** Interim CEO since early 2026; Twin Eagle integration and synergy targets are new.
- **Takeaway constraints.** Pipeline capacity limits in Appalachia can strand gas and depress regional realizations.
- **Capital allocation.** Any return to growth-mode drilling at the expense of returns would break the thesis.

What would change our mind

Downgrade to HOLD if the 2027 futures strip collapses back toward \$2.90 and stays there — in which case this note's bear case (\$31.53) becomes the base case — or if sustained Marcellus basis blowouts keep realized prices \$0.75+ below Henry Hub regardless of the strip. A strategic pivot back to production growth at the expense of free cash flow, or leverage rising materially above the stated target range, would each independently force a re-underwrite. We watch: the futures strip, basis differentials, the 2027 hedge book, and synergy delivery.

7 Methodology

We value companies on a multi-year scenario discounted-cash-flow framework. Each note builds bear, base, and bull scenarios with scenario-specific discount rates and terminal growth assumptions, probability-weighted 25% / 50% / 25% unless the note states otherwise.

Discount rates reflect the equity risk of the business: roughly 9% for stable franchises, 10% for standard operating companies, and 12% or higher for levered, cyclical, or development-stage businesses. The bear case adds 250 basis points to the base discount rate; the bull case subtracts 150 basis points. International businesses carry an explicit country-risk premium where the note's framework requires it.

Terminal growth is set at or below long-run nominal GDP growth, applied to normalized mid-cycle margins — never peak margins. Project and segment economics are modeled on haircut assumptions, not on management guidance. Share counts are fully diluted, and minority interests are priced through the forecast every year.

We cross-check DCF fair values against trading multiples, reverse-DCF implied growth, and sum-of-the-parts where the business has separable assets. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine the volatility of the business model, the balance sheet, and the valuation. A High risk rating is not a veto on a BUY — it is the reason the upside exists — but it sizes the position.

This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.